

It took two years to convince the Securities and Exchange Commission to approve a pilot program for trading stock options. On April 26, 1973, 911 call-option contracts on 15 different stocks changed hands in a small smoker's lounge off the main floor of the Board of Trade. I couldn't locate the lounge, but there ought to be a plaque to commemorate this speculators' Kitty Hawk.

The response to centralized options trading was so enthusiastic that it took the organizers by surprise. Billions of dollars were soon invested in this market. In one decade, the CBOE moved from the smoker's lounge to its own new building, attached to the back of the Board of Trade like a giant high-rise potting shed. As of my visit, the CBOE sold puts and calls on 140 different stocks, while other exchanges had gone into the options business as a form of self-defense. In fact, the success of the stock options led to the invention of the stock-index options described earlier, and also of the options on cattle, pork bellies, and the live hogs that I'd bought.

Since Lind-Waldock didn't handle stock options, I closed out my account there and called my reliable old Prudential-Bache broker, Ms. Garrett. First, I informed her I was in Chicago. Then, as forcefully as I could, I announced, "I want to buy some Loews options. The stock is going to 80." She seemed impressed with my confidence, in spite of what had already transpired between us. "Do you know something about Loews?" she asked. I wondered if she'd call other clients and recommend Loews as soon as I hung up.

The Loews stock was trading at around \$65 a share. A September \$75 call option gave me the right to buy a hundred shares for \$75 a share until the expiration date in mid-September, about two months away. If the stock went to \$80, then the option would be worth \$500.

At current prices, Ms. Garrett said, each of these options would cost \$150. I bought ten of them, for a total outlay of \$1,605.47. That wiped out most of the cash left in the Prudential-Bache account.

By now, I knew enough to realize that I could also sell options I didn't own, and the proceeds would be added to my account on paper. I'd done it with corn, by selling the 5,000 bushels to Cargill. The same could be accomplished by selling a put, or in this case,